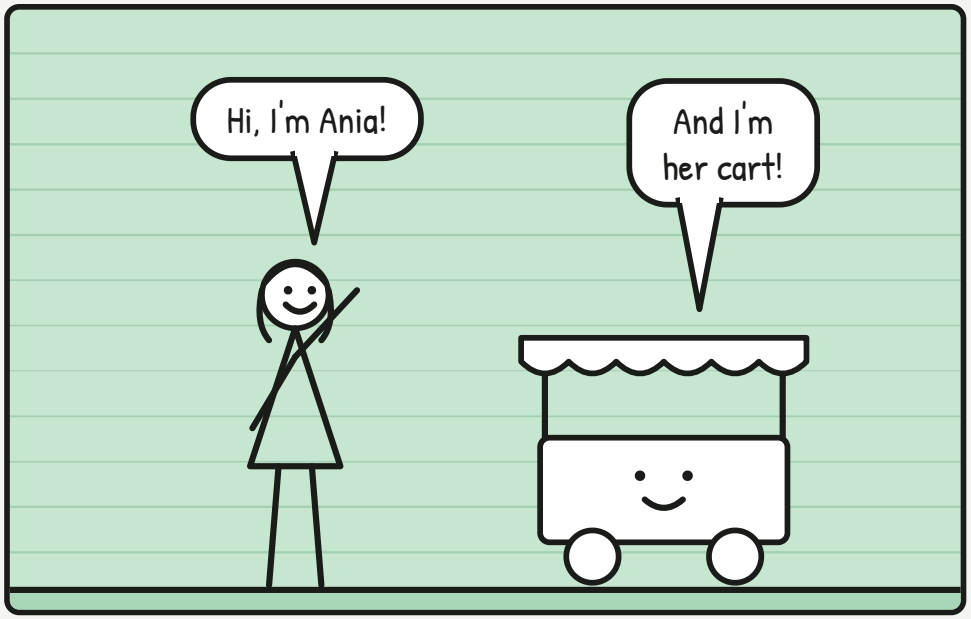


Ania's Coffee Cart

One month of a small business, told as a comic. And one question about profit and cash.

One month later...

My profit is 2,075 zł, but my bank account says 10,200 zł.

PROFIT

2,075 zł

CASH IN THE BANK

10,200 zł

How can both be true?

Let's follow the money.

Play along

1

Something happens

A loan, a machine, a sale…

2

You guess

Does it change cash, profit, both or neither?

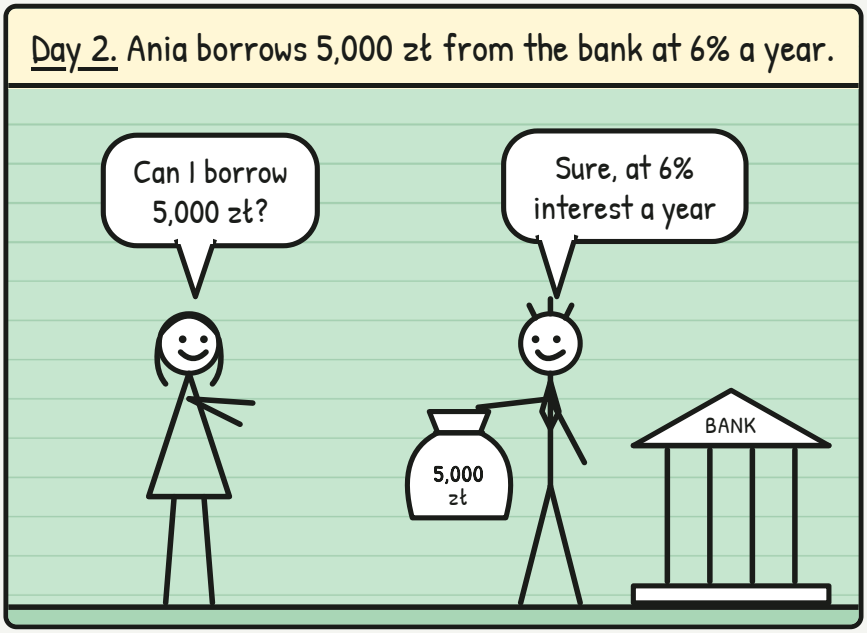
3

See the answer

On the next page, with what the accountant writes down.

Tiny bit of jargon: **Dr** = debit = left side, **Cr** = credit = right side. Not money in and out.

Borrowing from the bank



Guess: what changes?

Cash | Profit | Both | Neither

Borrowing from the bank

Cash only

CASH

+5,000 zł

PROFIT

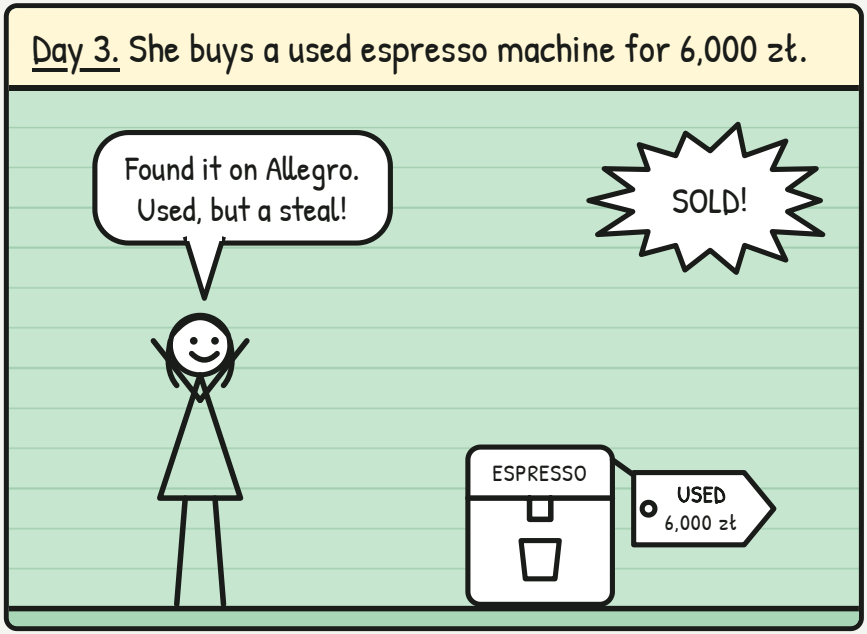
no change

WHAT THE ACCOUNTANT WRITES

Dr Cash	5,000
Cr Bank loan	5,000

A loan isn't income. The money must be paid back, so it's a liability.

Buying the espresso machine



Guess: what changes?

Cash | Profit | Both | Neither

Buying the espresso machine

Cash only

CASH

−6,000 zł

PROFIT

no change

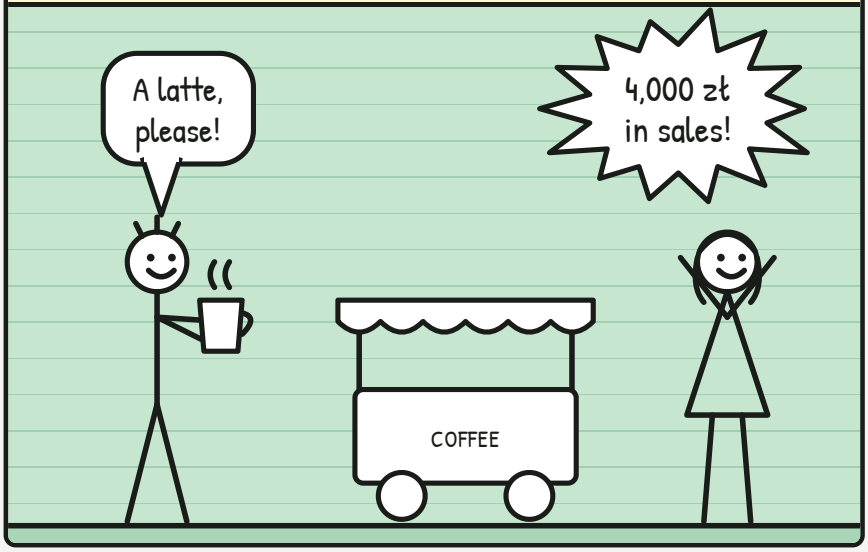
WHAT THE ACCOUNTANT WRITES

Dr	Equipment	6,000
Cr	Cash	6,000

The machine is an asset, not an expense. Buying it is an investing cash flow. Its cost turns into expense slowly, as depreciation.

Selling coffee for cash

All month. She sells 4,000 zł of coffee. Those drinks use 1,200 zł of beans.



Guess: what changes?

Cash | Profit | Both | Neither

Selling coffee for cash

Both

CASH	PROFIT
+4,000 zł	+2,800 zł

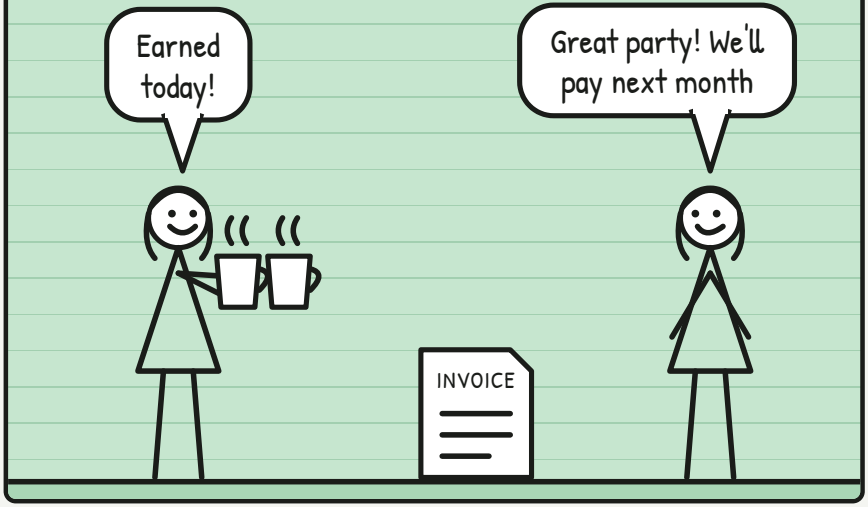
WHAT THE ACCOUNTANT WRITES

Dr Cash	4,000
Cr Revenue	4,000
Dr Cost of sales	1,200
Cr Inventory	1,200

Sales are revenue, and the beans used are the cost. Profit: 4,000 − 1,200 = 2,800 zł.

Catering an office party on credit

Day 20. She caters an office party for 1,000 zł, paid in December. It uses 300 zł of beans.



Guess: what changes?

Cash | Profit | Both | Neither

Catering an office party on credit

Profit only

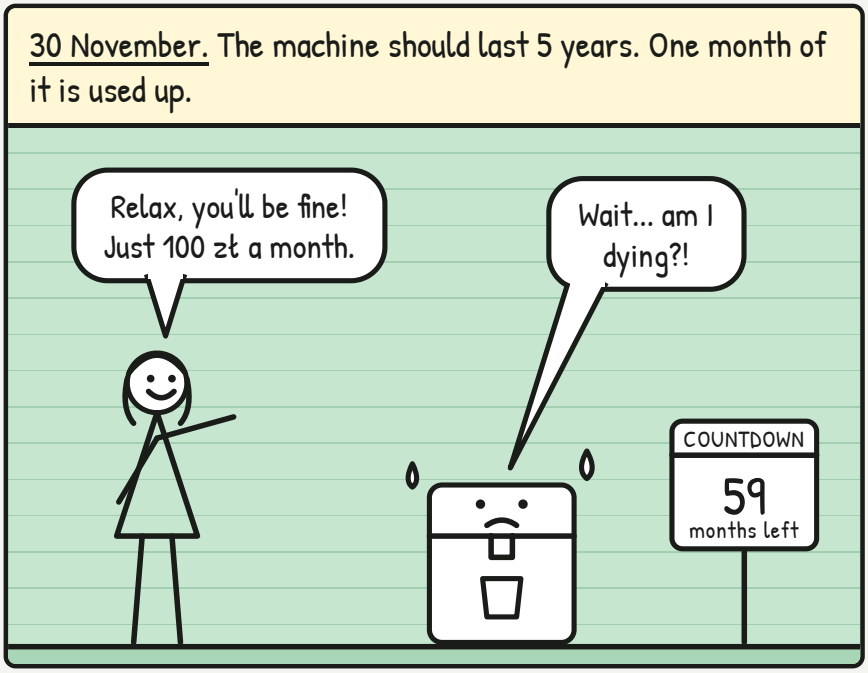
CASH	PROFIT
no change	+700 zł

WHAT THE ACCOUNTANT WRITES

Dr	Trade receivables	1,000
Cr	Revenue	1,000
Dr	Cost of sales	300
Cr	Inventory	300

Revenue counts when the work is done, not when the cash arrives. The cash comes in December.

The machine wears out a little



Guess: what changes?

Cash | Profit | Both | Neither

The machine wears out a little

Profit only

CASH	PROFIT
no change	−100 zł

WHAT THE ACCOUNTANT WRITES

```
Dr Depreciation expense          100
Cr   Accumulated depreciation    100
```

The 6,000 zł cost is spread over 60 months: 100 zł a month. It's an expense, but no cash moves.

From profit to cash

Profit	**2,075**
+ Depreciation (no cash)	+100
– Beans still on the shelf	−500
– Rent paid ahead	−1,000
+ Bills not paid yet	+525
= Cash from running the cart	**1,200**
– Espresso machine	−6,000
+ Ania's savings + bank loan	+15,000
= Cash in the bank	**10,200**

All amounts in zł, for November.

Three numbers, all true

PROFIT

2,075 zł

What the cart **earned**.

CASH FROM RUNNING THE CART

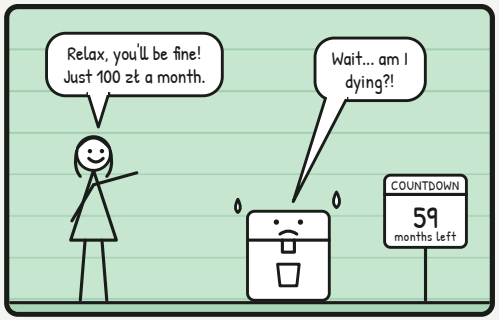
1,200 zł

What selling coffee actually **brought in**.

CASH IN THE BANK

10,200 zł

What Ania **has**, including the loan.



The full story has all 13 entries

Next step

- ▶ Try the interactive version: guess before you look
- ▶ Download the full PDF guide from the website
- ▶ Save this post for later

Link in the comments.

I'd love to hear if it was useful, or just fun. :)

Simplified educational example. VAT and income tax are excluded. Actual accounting requirements depend on the business structure and reporting framework.